AOU
الجامعة العربية المفتوحة
Arab Open University

Faculty of Business Studies

B391: Management Accounting and Finance

Mid-Term Exam - Version (B)

2025-2026 / Spring (Second) Semester

15 – April – 2026

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umber of Exam Pages: 3 cluding this cover sheet)	**Time Allowed: Two Hours**

Instructions:

ake **FIVE (5)** minutes to read all instructions carefully before attempting to write.
obile phones must be in "SWITCHED **OFF**" mode throughout the examination.
his is a **CLOSED** book examination. NO documents of any kind are allowed.
ou **MUST** answer the questions using only the answer booklets provided
ou **MUST** return the examination paper together with your answer booklets.
NOT write your answers in pencil except graphs/sketches
udents are **NOT** allowed to use any type of dictionary or mobile phones during the e
udents are allowed to use ***non-programmable*** calculators only (if needed).
y form of cheating will **NOT** be tolerated and will subject you to AOU Cheating

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Question 1 (30 marks)

Management accounting control systems are one of the major forms of results or output control. Discuss the five stages of management accounting control systems.

Question 2 (20 marks)

Suppose a business has recorded the following costs for electricity relative to units of production from the factory:

Months	Electricity cost (£)	Units made
January	10,000	11,000
February	16,000	21,000
March	12,000	13,000
April	8,000	9,000
May	10,000	11,000
June	11,000	12,000
July	14,000	18,000
August	13,000	17,000
September	12,000	13,000
October	11,000	11,000
November	11,000	12,000
December	12,000	14,000

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Required:

1- **Calculate variable cost per unit.**
2- **Calculate total fixed cost.**
3- **Calculate the total mixed cost at the level of 21,000 Units.**

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Question 3 (25 marks)

Smart Glasses LLC produces two models of sunglasses – standard and deluxe models of sunglasses. Cost and revenue data for the two models of sunglasses are given as follows:

	Standard £	Deluxe £
Selling price per unit	26	31
Variable cost per unit	10	18
Contribution margin per unit	16	13
Contribution margin (CM) ratio	62%	42%

The factory that makes the sunglasses is operating at full capacity, with the bottleneck or scarce resource being a particular assembling machine. The Standard sunglasses require two minutes of assembling time, and each unit of the deluxe sunglasses requires one minute of assembling time. Since this assembling machine already has more work than it can handle, something will have to be cut back.

In this situation, which product is more profitable? (Note: you should prove the accuracy of your answer by calculating how much extra contribution margin would be earned if one extra hour of assembling machine time were to become available).

Question 4 (25 marks)

The capital structure of Khalid plc comprises £20m in £1 ordinary shares and debt with a market value of £10 m. The current market value of ordinary shares is £2.25 each. Khalid plc pays corporate tax at a rate of 30% and has a beta of 1.75. The risk-free rate is 5% p.a. The equity risk premium is 8% p.a. and the credit risk premium is 5% p.a.

Required: Calculate the weighted average cost of capital for Khalid plc.

[End of Exam]

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